

NVIDIA Corporation

NVDA NASDAQ

Buy	\$213.05 ▲ 2.19%	12M Price Target \$260.00	52-Week Range \$164.07 – \$236.54	Market Cap \$5.16T
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NVDA: Earnings On Deck, Sellers Blinked at \$208

WHAT HAPPENED

- Stock bounced 2.2% off Monday's \$208 low — that broke a seven-day losing streak right into Wednesday's earnings (after the close today). Translation: shorts covered and dip-buyers stepped in because nobody wants to be caught short a Nvidia print. Options flow is screaming bullish — a 0.34 put/call ratio (means 3x more call bets than put bets) and huge unusual call buying at \$212.50 and \$215 strikes expiring this week. That's fast money positioning for an upside surprise.
- The narrative shifted subtly — Yahoo ran a piece questioning whether NVDA's data center dominance is "slipping" as the market expands. That's actually a bullish setup: expectations get lowered heading in, and any beat looks bigger.

WHY IT MATTERS

Here's what I think is really going on: the market spent the last week de-risking into earnings (that's why tech ETF is -2% on the 5-day while NVDA sold off harder), and now smart money is repositioning long. The networking segment story matters more than people realize — if Spectrum-X and NVLink revenue is growing faster than compute (as the Yahoo piece flagged), that's proof NVDA is monetizing the *entire* AI data center stack, not just GPUs. That widens the moat and justifies the multiple. The real question isn't demand — hyperscaler capex guidance from MSFT/META/GOOG/AMZN already told us that answer — it's whether Jensen guides China revenue back in after the H20 licensing thaw, which would be a clean upside catalyst.

POLICY & POLITICAL WATCH

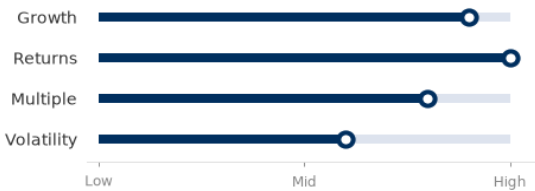
The big one: the Trump administration's deal letting NVDA sell H20 chips to China in exchange for a 15% revenue cut to the U.S. government is still the swing factor — if management confirms China shipments resuming at scale on the call, that's \$10-15B of revenue coming back that Wall Street has only partially modeled. Counter-risk: bipartisan hawks in Congress (both Warren and Cotton) are pushing bills to block or tighten these China AI chip sales, and any legislative escalation would cap the upside. Also watch the CHIPS Act 2.0 discussions — expanded domestic fab subsidies help NVDA's supply chain (TSMC Arizona) and reduce Taiwan concentration risk, which is a slow-burn positive.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$213.05
12M Price Target	\$260.00
Upside / (Downside)	+22.0%
Market Cap	\$5.16T
FY2026E Revenue	\$208M
FY2027E Revenue	\$285M
FY2026E EPS	\$4.45
FY2027E EPS	\$6.20
Fwd P/E	47.9x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$235.00	\$220.00	\$195.00
6 Months	\$260.00	\$235.00	\$185.00
1 Year	\$290.00	\$260.00	\$170.00
2 Years	\$350.00	\$300.00	\$160.00
5 Years	\$500.00	\$380.00	\$180.00
10 Years	\$800.00	\$550.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+3.3% on the 5-day) and Communication Services — money is rotating defensive ahead of NVDA earnings because a bad print takes the whole market down. Comm Services benefits from Meta's settlement clearing an overhang.

COOLING OFF: Technology (-2.1% on 5-day) — that's the pre-earnings de-risk I mentioned. Not a fundamental problem, it's positioning.

ROTATION WATCH: Money moved *out* of high-beta tech into healthcare and utilities the past week — classic "hedge before Jensen speaks" behavior. If NVDA prints well, that money whips back into tech within 48 hours.

RELATED PLAY: Data center infrastructure is the second-order trade — VRT (Vertiv, cooling/power), ANET (Arista, networking), and the nuclear/power names (CEG, VST) all benefit from AI capex regardless of who wins the chip race.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Winning the custom silicon narrative — every hyperscaler doing their own chip goes through Broadcom, which is why it's held up better than NVDA the past month.
- META (Meta Platforms): Settlement news cleared a legal overhang, and their AI capex guide directly funds NVDA — bullish read-through.

NVDA CONTEXT: NVDA is actually *lagging* AVGO on the 1-month view, which tells me the market is pricing in some share loss to custom silicon. That's the bear case in the price already — meaning a strong data center number tonight forces a re-rating higher because the "dominance slipping" thesis gets debunked in one print.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$205-210 on pullbacks; add aggressively sub-\$200

Time Horizon: 12-24 months

Thesis Invalidation: Data center revenue growth decelerates below 30% YoY, or full China export ban with no offset

Hedging: Long SMH puts or short AMD as a paired hedge into earnings